

3.1.2 Understanding different business forms

Content	Additional information
Reasons for choosing different forms of business and for changing business form	Different forms of business include: • sole traders • private limited companies and public limited companies • private sector and public sector organisations • non-profit organisations such as charities and mutuals. Issues with different forms of business include: • unlimited and limited liability • ordinary share capital • market capitalisation • dividends.
The role of shareholders and why they invest	
Influences on share price and the significance of share price changes	
The effects of ownership on mission, objectives, decisions and performance	